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PICTURE YOURSELF DRIVING a car. While pulling into your destination, you hit a lamp post in the parking lot. You quickly take a picture of the damage done to your bumper and upload it on the app of your insurance company. By the time you think of taking the car to the nearest garage, the insurance company confirms that your claim has been approved and the money gets credited to your account. While many

such technologies are available for customers already, a fully integrated and automated claim settlement process is still a bit distant in India.

The good news—digitalisation has started transforming various aspects of the insurance industry and the time may not be too far when, after the accident, your insurance company immediately tells you how your careless driving led to an increase in future premium payments and, consequently, the money gets deducted from your account. Phew! Far away, but entirely plausible.

If anything, Covid-19 has only accelerated the pace of digital transformation in the insurance industry. Not only has digital innovation given a huge upside to insurance businesses, but a separate space called ‘InsurTech’—for the seamless delivery of insurance products—has also

emerged from tech-driven start-ups. From faster on-boarding and claim settlements to product innovation and diversification, to data-driven price discovery and underwriting, the use of technology is changing the insurance industry landscape.

NEW ECOSYSTEM

Covid-19 has helped fuel a new wave of start-ups in the insurance sector, especially those enabling insurers to leverage data and analytics in various ways. From quote issuance to claim settlement, they act as a digital intermediary between a customer and an insurance company. The trend can also be observed in the recent funding of these new-age companies. For example, Onsurity, a tech start-up that offers healthcare services to start-ups and small and medium enterprises (SMEs), raised

THE EVOLVING INSURTECH LANDSCAPE



NEW ECOSYSTEM

Many start-ups such as Onsurity, Pazcare and Plum have started enabling insurers to leverage digital and analytics in new ways. From quote issuance to claim settlement, they act as a digital intermediary layer between a customer and an insurance company

BETTER CLAIM EXPERIENCE

This includes reimagining processes using AI and ML for better customer servicing, claims, renewals, etc. Insurers such as ICICI Lombard and Digit General Insurance use AI and ML for quicker claim settlements

PRODUCT INNOVATION

Technology helps in addressing niche segments' needs through innovative products such as bite-sized policies. For instance, you no more need to buy insurance cover for your mobile phone; instead you can just opt for screen insurance

DATA-DRIVEN INNOVATION

This includes building a rich data repository to target new segments and build sharper underwriting and pricing capabilities. For example, 'pay by use' motor insurance charges users based on their driving pattern data